

Financial Statement Assertions

Financial statement assertions are statements or claims that companies make about the fundamental accuracy of the information in their FS. These statements include the balance sheet, income statement, and cash flow statement. Also referred to as management assertions, these claims can be either implicit or explicit.

A company's financial statement assertions are a company's stamp of approval—that the information in its financial statements is a true representation of its financial position. This includes any information on the balance sheet, income statement, and cash flow statement, and pertains to each and every asset and liability that appears on these forms.

P&L Assertions

- i. **Occurrence** – the transactions and events that have been recorded or disclosed have occurred, and such transactions and events pertain to the entity.
- ii. **Completeness** – all transactions and events that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
- iii. **Accuracy** – amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been appropriately measured and described.
- iv. **Cut-off** – transactions and events have been recorded in the correct accounting period.
- v. **Classification** – transactions and events have been recorded in the proper accounts.
- vi. **Presentation** – transactions and events are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

Balance Sheet Assertions

- i. **Existence** – assets, liabilities and equity interests exist.
- ii. **Rights and obligations** – the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
- iii. **Completeness** – all assets, liabilities and equity interests that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
- iv. **Accuracy, valuation and allocation** – assets, liabilities and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been appropriately recorded, and related disclosures have been appropriately measured and described.
- v. **Classification** – assets, liabilities and equity interests have been recorded in the proper accounts.
- vi. **Presentation** – assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and

understandable in the context of the requirements of the applicable financial reporting framework.

Completeness

Physical sample >> Supporting Documents >> ledger >> TB >> FS

Existence

FS >> TB >> ledger >> Sample of supporting documents >> Physical check

Risk Assessment Process

The auditor shall obtain an understanding of whether the entity has a process for:

- (a) Identifying business risks relevant to financial reporting objectives;
- (b) Estimating the significance of the risks;
- (c) Assessing the likelihood of their occurrence; and
- (d) Deciding about actions to address those risks.

Responding to Risk

- Following analytical procedures, substantive procedures and test of controls as possible
- Emphasizing to the audit team the need to maintain professional skepticism.
- Assigning more experienced staff, those with special skills, or using experts.
- Changes to the nature, timing and extent of direction and supervision of members of the engagement team and the review of the work performed.
- Incorporating additional elements of unpredictability in the selection of further audit procedures to be performed.